

cover story SIXTH PAY COMMISSION

PUNJAB



MANPREET SINGH BADAL
FINANCE MINISTER

"The proposals will have a huge impact on our finances. They'd wipe out whatever little fiscal recovery we have made and force us to borrow more."

MANY A SLIP BETWEEN THE CUP AND THE LIP

A bit-by-bit account of the Sixth Pay Commission proposals, the promises they hold

PROPOSAL: Minimum salary at the lowest level increased from Rs 2,550 to Rs 6,660, and at the highest level, from Rs 26,000 to Rs 80,000.

PURPOSE: Supposed to buoy the morale of government employees and deliver better governance.

PITFALL: There is no accountability, no assurance of efficiency and delivery in return.

PROPOSAL: Annual increments to be paid in the form of 2.5 per cent of total pay in the pay band and grade pay. High performers will be given an increment of 3.5 per cent.

PURPOSE: Good in principle. But how will the government evolve a system to decide who the high performers are across departments?

PITFALL: The move will trigger favouritism as there is no system to judge high performers.

PROPOSAL: Performance-related incentive scheme introduced over and above pay to replace the ad-hoc bonus scheme and productivity-linked bonus.

PURPOSE: If performance is linked to delivery of services, it will kick-start efficiency.

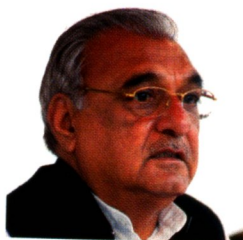
PITFALL: This could become the new productivity-linked bonus with no linkage to productivity or performance.

PROPOSAL: Liberal severance package for employees leaving service between 15 and 20 years.

PURPOSE: Will enable downsizing, lateral movement into private sector and create opportunities for new talent.

PITFALL: This is anti-retention of talent and could result in the cream in the civil service fleeing for greener pastures.

HARYANA



BHUPINDER SINGH HOODA
CHIEF MINISTER

"We have made a provision of Rs 1,550 crore as we had foreseen this. We will have no problem in implementing it."

hurrahs are any indication, in a few weeks the panel's recommendations will be formally accepted. In return, the taxpayer cannot expect anything because there are no performance guarantees. Given the expectation of polls and the season of sops, the only intervention will be in favour of a higher hike, not on delivery. The distance between the need for reforms and the absolute lack of political will has never been greater. The pathetic state of governance Chidambaram spoke about will continue to be the subject of lament. The commission has offered the carrot but there is no stick in sight. There is no mechanism to make the babudom more accountable. Only, taxpayers will be paying a higher price for the sloth in the system.

But that is not the political parties' concern. While the Congress has hailed the panel's recommendations as a promise kept, the BJP has urged immediate implementation. The Left, though not fully satisfied, has predictably welcomed it. CPI(M)

Politburo member Sitaram Yechury has described the proposed increase in salaries as "long overdue, especially due to unrelenting inflation". The irony is that the UPA Government in 2005 had apparently appointed a committee of secretaries to look into the need to set up the Sixth Pay Commission. Its verdict was a "nay". It said that the Centre may not be able to bear the additional burden and the states were just recovering from the impact of the Fifth Pay Commission implemented in 1997. But the Government obviously chose to ignore this.

The tragedy is that the damage is not limited to the Centre. The cascade effect will spread not just across the states and the public sector but a host of quasi-government entities including schools. The total impact on just state governments is expected to be over Rs 46,100 crore per year. For the employees though, the new deal is most lucrative. At the lowest level, a government employee

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